of which the last three were duds. There was also evidence to show that Mundhra was siphoning off huge amounts of money. He was also operating in the market and rigging up the prices of these shares. Parekh's note of August 20, 1957, observed that the large purchase of shares from Mundhra without consulting the Committee was controversial, particularly since in his opinion, ₹50 lakhs of the investment would yield practically no return.

Parekh deposed before the Chagla Commission and gave evidence lasting about three hours. He explained each purchase in detail. In one case, the company had closed down long ago. Parekh's note found its way into the hands of Feroze Gandhi, a bitter critic of T.T.K. He even came to Parekh's house to understand some of the remarks Parekh had made in the note. Parekh recalls that as soon as he heard about the Mundhra deal, he had called on Kamat, the new Chairman, and warned him that the purchase was a blunder. He says that he did not realize till then that it would become the *cause célèbre* it did. Parekh later submitted another note to LIC laying down the kind of policy framework for investment which a major investor such as LIC should adopt.

Another expert witness who deposed before the Chagla Commission was A.D. Shroff. Shroff told the Commission that his own investigations into the Mundhra companies had 'staggered' him. He also told the Commission how he had advised a bank connected with the Tatas to withdraw a loan offer made to Mundhra. He told Chagla that Mundhra had been chasing him to buy his shares and had an infinite capacity for hiding the truth. According to Shroff, Mundhra's manipulations had ruined the companies and they were likely to collapse at any time. Mundhra, Shroff said, was no businessman, and he was also being manipulated by a group of unscrupulous brokers. Shroff said he had studied Mundhra's companies at length, and then refused to do business with them.

Mundhra tried to counter Shroff by telling Chagla that he had sold Shroff 25,000 Smith Stanistreet shares at ₹2 above the market. In March 1957, he sold him 30,000 shares of Jessops and later 20,000 shares of Indian Cables. In reply, Shroff told the judge how Mundhra had kept Shroff in the dark about the fact of Jessops being forced to purchase ₹60 lakh worth of Richardson & Cruddas shares. He held that the Smith Stanistreet shares were a sound investment since the company held valuable manufacturing licenses from two world-famous pharmaceutical companies. Shroff said that